

the book was subscribed two times, again underscoring the fact that if the price was right, retail investors would be as keen as their institutional counterparts to invest.

None of the investors who put money in Coal India had any cause for disappointment. The stock opened at Rs 287, and ended the day at Rs 342, at a good 40 per cent premium to the issue price of Rs 245. The Sensex topped 21,000 after a gap of more than thirty-four months, but the rally seemed a hollow one to most of us. Corporate earnings growth had begun to lose steam, and none of the brokerages were adding staff, despite the boom in stock prices.

Conventional market wisdom has it that a blockbuster IPO usually signals the peak of a bull run. This was proved right in 2008 with Reliance Power's public issue. It turned out to be true again with the Coal India IPO. I thought the success of the Coal India issue would boost sentiment and draw more investors to the market. Besides, there was no massive build-up of positions in the derivatives market, as was the case in 2008. To me, frenzied retail participation is one of the most reliable signs of a market correction. There was no sign of that either. Still, the market began to flag after the listing of Coal India shares.